GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE COMMISSIONER OF INCOME TAX (APPEALS)
NATIONAL FACELESS APPEAL CENTRE (NFAC), DELHI

Appeal No.	:	NFAC/2024-25/10999901
Name of the appellant	:	Kalpanik Traders Private Limited
Address	:	Unit 101, Specimen Arcade, Imaginary Road, Pune - 411 000 (fictitious)
PAN	:	AAACK1234F
Assessment Year	:	2022-23
Section under which the order appealed against was passed	:	147 r.w.s. 144B
Order appealed against passed by	:	Assessment Unit, Income Tax Department, dated 28/03/2024
Date of filing of appeal	:	25/04/2024
Appearance for the appellant	:	Written submissions (e-proceedings)
Date of order	:	14/10/2026
DIN & Order No.	:	ITBA/NFAC/S/250/2026-27/1099999901(1)

ORDER UNDER SECTION 250 OF THE INCOME-TAX ACT, 1961

1. This appeal has been filed by the appellant against the order passed u/s 147 r.w.s. 144B of the Income-tax Act, 1961 ('the Act') dated 28.03.2024 by the Assessment Unit, Income Tax Department (hereinafter 'the AO') for A.Y. 2022-23, wherein the total income was assessed at Rs.83,50,000/- as against the returned income of Rs.18,50,000/-, raising a demand of Rs.49,76,552/-.

2. Brief facts of the case are that the appellant is a company engaged in the wholesale trade of textiles and yarn. The assessment was reopened u/s 147 on the basis of information that the appellant had received unsecured loans from entities of doubtful creditworthiness. In the reassessment, the AO made an addition of Rs.45,00,000/- u/s 68, a disallowance of Rs.8,00,000/- u/s 14A and a disallowance of Rs.12,00,000/- u/s 40(a)(ia).

3. Aggrieved by the order of the AO, the appellant has raised the following grounds of appeal:

(1) On the facts and in the circumstances of the case and in law, the reopening of the assessment u/s 147 is bad in law, as the conditions of sections 148A and 151 were not satisfied.

(2) The AO erred in adding Rs.45,00,000/- u/s 68 as unexplained cash credit, though the identity and creditworthiness of the lenders and the genuineness of the loans were proved.

(3) The AO erred in disallowing Rs.8,00,000/- u/s 14A r.w.r. 8D without recording satisfaction with reference to the accounts of the appellant.

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(4) The AO erred in disallowing Rs.12,00,000/- u/s 40(a)(ia) though the payees had furnished declarations u/s 194C(6).

4. During the appellate proceedings, the appellant filed confirmations, income-tax returns and bank statements of the lenders as additional evidence under Rule 46A of the Income-tax Rules, 1962. The additional evidence was forwarded to the AO for a remand report. The remand report dated 12.08.2026 was received and the appellant filed its rejoinder dated 02.09.2026.

5. I have carefully considered the grounds of appeal, the assessment order, the written submissions of the appellant, the remand report and the material on record. The grounds are adjudicated as under.

6. **Ground No. 1 - Validity of reopening of the assessment u/s 147**

6.1 The appellant submitted that the notice u/s 148 was issued without proper application of mind and without valid approval of the specified authority u/s 151, and that the reopening is therefore void ab initio.

6.2 I find from the record that the notice u/s 148 was issued on 30.03.2023, within three years from the end of the relevant assessment year, after the procedure u/s 148A was followed and with the approval of the Pr. CIT, who is the specified authority u/s 151(i). The information relied upon was specific. I find no infirmity in the reopening, and the action of the AO is upheld. Ground No. 1 is dismissed.

7. **Ground No. 2 - Addition of Rs.45,00,000/- u/s 68**

7.1 The AO observed that the appellant failed to prove the creditworthiness of the three lenders and that notices u/s 133(6) remained uncomplied.

7.2 The AR of the appellant submitted that all three lenders are assessed to tax, the loans were received and repaid through banking channels, and interest was paid after deduction of tax at source. The AR relied on Kalpanik Finance Ltd. v. ITO [2019] 999 taxmann.com 9999 (Bom) (fictitious citation).

7.3 In the remand report, the AO verified the confirmations and the returns of the lenders and did not point out any discrepancy in the additional evidence.

7.4 I have considered the matter. I respectfully follow the decision in CIT v. Udaharan Agencies (P.) Ltd. (2012) 999 ITR 1 (Del) (fictitious citation). The appellant has established the identity and creditworthiness of the lenders and the genuineness of the transactions, and the AO has not rebutted the evidence. The addition of Rs.45,00,000/- made u/s 68 is deleted. Ground No. 2 is allowed.

8. **Ground No. 3 - Disallowance of Rs.8,00,000/- u/s 14A**

8.1 The appellant contended that no expenditure was incurred to earn the exempt share of profit and that the AO did not record satisfaction.

8.2 I find that the AO examined the accounts and recorded satisfaction in the assessment order before applying Rule 8D. The disallowance does not exceed the exempt income. There is no infirmity in the order of the AO. The disallowance of Rs.8,00,000/- u/s 14A is confirmed. Ground No. 3 is dismissed.

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9. **Ground No. 4 - Disallowance of Rs.12,00,000/- u/s 40(a)(ia)**

9.1 The appellant has furnished certificates in Form No. 26A and declarations u/s 194C(6) for the major part of the freight payments of Rs.40,00,000/-. Complete details of the remaining payees have not been furnished.

9.2 Considering the totality of the facts and the evidence furnished, the disallowance u/s 40(a)(ia) is restricted to Rs.4,00,000/-. The AO is directed to restrict the disallowance accordingly. Ground No. 4 is partly allowed.

10. In the result, the appeal is partly allowed.

11. Order pronounced and uploaded on the ITBA portal on 14.10.2026.

Sd/-
(A. N. Example)
Commissioner of Income Tax (Appeals)
National Faceless Appeal Centre (NFAC), Delhi

Copy to:

1. The appellant
2. The Pr. CIT, Pune-1 (fictitious)
3. The Assessing Officer, ACIT, Circle 1(1), Pune
4. Guard file

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